

ZOOM COMMUNICATIONS INC ZM

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by [thomas434](#)

2026 2027

Price:	88.00	EPS	0	0
Shares Out. (in M):	300	P/E	0	0
Market Cap (in \$M):	25,800	P/FCF	14.9	13.7
Net Debt (in \$M):	0	EBIT	0	0
TEV (in \$M):	14,500	TEV/EBIT	0	0

Description

I like idiosyncratic ideas, I'm a value investor, and my favorite saying is "everything should be made as simple as possible, but not simpler" by Einstein. I love it when the math is so simple you can do it on the back of a napkin with a huge margin of safety in a growing business. Let me present to you Zoom Video Communications, the pandemic darling video conferencing service.

At \$88 today, the company has a market cap of \$25.8 bil, with \$8.3 bil of cash and other investments, and one really big investment! Zoom was one of the first investors in Anthropic the owner of Claude AI in May 2023. In their most recent 10-Q they disclosed the stake (which started around \$50 mil) at \$1.267 bil but that was at \$380 bil Anthropic valuation. With Anthropic recently raising capital at \$965 bil valuation, and assuming dilution, ZM's stake in Anthropic would be worth approximately \$3 bil. If you're a user of Claude every day like me, I don't think it's an exaggeration to say this could be the most valuable company in the world some day. FYI - NVDA currently leads with a market cap of \$4.95 tril.

Add it all up and the Enterprise Value of Zoom is effectively \$14.5 bil today. The gravy on top is the economics of the business which are just mouthwatering. \$5 bil of revenue, with 79% gross margins, and 34% FCF margins leading to \$1.7 bil of generation expected for FY2027. That's an extremely compelling 11.8% FCF/EV yield today when the 10-year treasury is at 4.49%.

So what about the business? It must be in decline post COVID right? The business results prove its actually still growing. Here is ZM's revenue growth rates since going public:

FY 2019 IPO baseline

FY 2020: +88%

FY 2021: +326%

FY 2022: +55%

FY 2023: +7%

FY 2024: +3%

FY 2025: +3%

FY 2026: +4.4%

FY 2027E: +4.5%

I think we all now realize Zoom is a verb right? How many times do we still say we have to hop on a Zoom call? The company is still the undisputed leader in the video conferencing market today. Yes it faces stiff competition from Microsoft Teams, but you don't need heroic assumptions for ZM's growth rate to make the investment work. Modeling out a continuation of their recent growth rates and you can quickly get to cash and Anthropic being more than the entire market cap. Meaning you get the entire Zoom business generating \$1.7 bil of FCF for free!

You also have a founder in Eric Yuan with a 22% ownership stake worth \$5.6 bil in the company and an aggressive share repurchase program which reduced share count 4% y/y in most recent quarter.

Long Zoom!

Disclosure: I am long ZM. This write-up reflects my personal views and is not investment advice. I may buy or sell shares at any time without notice. Please do your own research.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Valuation & Anthropic IPO currently targeted for October 2026

Messages

Subject	Sounds intersting
Entry	06/17/2026 05:51 PM
Member	Supernova
Do you have any analysis to go along with the business description?	
Subject	core de-rating
Entry	06/18/2026 06:02 AM
Member	differentiatedfractal31415
Concise and simple write-ups are great, but this thesis has been around for a bit, and yet the price action is something else. Any analysis you can point to on the core business that shows it isn't a melting ice cube as the market believes? Seat-based SaaS names are getting derated, and buybacks aren't the salvation in a technology paradigm shift. Exhibit A: Wix price action. What gives you comfort this market will change its view on the core business? Thx	
Subject	Not enough data!
Entry	06/18/2026 01:46 PM
Member	Bill
I think you included far below the minimum amount of data and information necessary to make an investment decision, and for general VIC standards, especially for a membership write-up. The write-up is unclear on the numbers, catalysts and fundamental story in general. It was unclear if you deducted the anthropic investment from EV, at what price ZM purchased their stake, and if you tax effected the potential gains in your valuation? It was unclear what the competitive landscape looks like for ZM going forward? It was unclear what ZM's growth and margin trajectory will look like in the coming years? It was unclear what you meant by your point that the Anthropic stake could be worth the entire valuation of the company, and you get the rest for free - this seems false given the current value of Anthropic and its tax effected value to ZM. You said nothing about ZM's strategy going forward. You gave no range or fair value for ZM or its anthropic stake/	
Subject	Whats is this?
Entry	06/18/2026 02:19 PM
Member	ahnuld
A reactivation for ants?!	
Subject	SBC
Entry	06/18/2026 04:31 PM
Member	jso1123
Similar to the TYL pitch: on consensus, I see \$1.7b in FCF as you state but \$800mm in SBC. so what's the real economic FCF?	